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● Japan Daily Brief

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RE: BOJ hike odds hit 94% after Bessent-Ueda G20 meeting · 10Y JGB breaks 3% for first time in 30 years · Takaichi seeks Trump face time ahead of US-China summit · Putin blames Japan for deteriorating ties

NIKKEI 225

64,325.64

▼ -2.73%
as of Sep 2

USD/JPY

159.90

▲ +0.41%
as of Sep 2

EUR/JPY

185.04

▼ -0.30%

BRENT

\$95.09

▲ +6.47%

10Y JGB

1.50%

yield

JAPAN 5Y CDS

20 bps

— flat

BOJ POLICY RATE

1.00%

GDP (ANNUALIZED)

1.1%

Cabinet Office · latest Q (annualized)

TODAY AT A GLANCE

- 1 BOJ Governor Ueda confirmed rate hikes are on the table at every meeting including September, driving market odds to 94%, after Treasury Secretary Bessent met him on the G20 sidelines and pressed for decisive action to address yen weakness.
- 2 Japan's benchmark 10-year government bond yield broke 3% for the first time in approximately 30 years amid a global debt selloff, with the Nikkei dropping 2.73% as higher borrowing costs weighed on equities.
- 3 PM Takaichi is seeking a face-to-face meeting with President Trump ahead of a scheduled US-China summit, per Nikkei Asia, as Tokyo seeks to avoid being sidelined in any US-China diplomatic recalibration.

TOP STORIES

ECONOMY-BOJ

BOJ's Ueda signals September rate hike; Bessent presses for decisive action at G20 sidelines; 10Y JGB breaks 3%

BOJ Governor Ueda told reporters that rate hikes are on the table at every meeting, including September's, and that inflation is 'much closer to' the 2% target, driving market-implied odds of a September hike to 94%. Treasury Secretary Bessent met Ueda on the G20 sidelines, publicly backing decisive monetary steps to address yen weakness and calling for 'sound policy to avoid currency volatility'; Japan's 10-year JGB yield simultaneously broke 3.005% for the first time in approximately 30 years, with the Nikkei falling 2.73%.

So what: *The September BOJ Monetary Policy Meeting is now a live hike decision, with a BOJ board member flagging the increment need not be 0.25%, complicating market positioning and fiscal planning for*

the Takaichi government's record budget request.

per The Japan Times: "BOJ's Ueda hints at September rate hike as bets on move mount"

THE JAPAN TIMES

ECONOMY-BOJ

Japan 10-year JGB yield hits 30-year high of 3.005% in global bond selloff

Japan's benchmark 10-year government bond yield reached 3.005%, a level not seen in roughly 30 years, amid a global bond selloff linked to inflationary pressures from the Gulf, per Nikkei Asia and Jiji Press. The Japan Times and Guardian reported that global fund managers are showing a steadier drawdown of Japan's approximately \$2.4 trillion in overseas debt holdings, though no evidence of outright dumping has emerged.

So what: Rising JGB yields directly raise the debt-servicing cost of the Takaichi government's deficit spending plans and have prompted CCS Kihara to publicly flag that the government is 'closely watching' bond market moves.

per Nikkei Asia: "Japan benchmark bond yield hits 30-year high of 3% amid global debt selloff"

NIKKEI ASIA

ALLIANCE

Takaichi seeks face time with Trump as US-China summit nears

PM Takaichi is actively seeking a bilateral meeting with President Trump ahead of a scheduled US-China summit, concerned that a US-China diplomatic reset could leave Tokyo without adequate consultation on Taiwan-related and trade-related outcomes. The push comes as Treasury Secretary Bessent simultaneously pressed Takaichi's government on yen policy and BOJ rate hikes at the G20.

So what: The timing and agenda of a Takaichi-Trump bilateral — if secured — will indicate how much Washington is willing to explicitly coordinate with Tokyo before any US-China summit deliverables are locked in.

per Nikkei Asia: "As US-China summit nears, Japan's Takaichi wants face time with Trump"

NIKKEI ASIA

⚡ OVERNIGHT FLASH

INDO-PACIFIC · NIKKEI ASIA

Japan bids to host CPTPP permanent secretariat

Japan has formally sought to host the secretariat for the Comprehensive and Progressive Agreement for Trans-Pacific Partnership, positioning Tokyo as the institutional anchor of the multilateral trade bloc. No host decision has been announced.

POLITICS-DIET · THE JAPAN TIMES

Nearly 1,000 business manager visa holders left Japan in first half of 2026

Approximately 1,000 holders of Japan's business manager visa departed in the first half of 2026 after requirements were tightened in October, raising the minimum capital requirement from ¥5 million to ¥30 million. The trend intersects with Bloomberg's reporting that Japanese firms continue hiring foreign nationals even as the Takaichi government tightens immigration rules.

3.005%

Japan 10-year JGB yield — first time above 3% in ~30 years

The benchmark long-term rate hit 3.005% on September 2 amid a global bond selloff, compounding fiscal pressure on the Takaichi government's planned deficit spending.

Source: (Update 2) Japan Key Long-Term Rate Hits 30-Year High of 3.005 Pct — JIJI PRESS

REGIONAL PRESSURE WATCH

High — 50 items (45 Japanese government, 5 adversary signal)

PM Watch: PM appeared today · 1 day(s) since last confirmed appearance — PM Takaichi held a telephone summit with Nepal's prime minister seeking cooperation in the search for five missing Japanese nationals, and the Prime Minister's Office confirmed FY2026 comprehensive disaster management drills were conducted.

CHINA

China's Foreign Ministry spokesperson, per Xinhua, again urged Japan to bring the SDF officer who intruded into the Chinese embassy compound 'to account,' extending Beijing's sustained public pressure posture toward Tokyo; the demand follows the officer's dismissal and continues the pattern of daily amplification via state media.

NORTH KOREA

South Korea confirmed no changes to trilateral US-Japan-ROK Freedom Edge 2026 exercises set to begin September 7 near Jeju Island, per Yonhap and Korea Herald, despite North Korea's 'threat' labeling of the drills and a missile test conducted in the run-up to the exercise window.

RUSSIA

Russian President Putin publicly stated, via TASS, that Japan bears responsibility for the deterioration in bilateral ties; Tokyo rejected the framing and attributed the breakdown to Russia's Ukraine invasion — the exchange extends the sustained diplomatic standoff following Putin's Etorofu visit and Russia's August 21 Bastion missile live-fire from the disputed island.

Senkaku / ECS: No new Senkaku CCG intrusion or JASDF scramble reported in today's feed; the sustained pattern of near-daily CCG presence in the contiguous zone remains the baseline.

"China urges Japan to bring perpetrator over Chinese embassy intrusion to account"

Chinese Foreign Ministry spokesperson · China urges Japan to bring perpetrator over Chinese embassy intrusion to account: spokesperson — Xinhua

Bottom line: The dominant regional-pressure signal today is the BOJ-Bessent convergence on yen and rate policy rather than a discrete adversary military act; Freedom Edge 2026 begins September 7 and the North Korean response window opens then.

EXPERT ANALYSTS

OP-EDS & THINK TANK COMMENTARY

THE NATIONAL BUREAU OF ASIAN RESEARCH (NBR)

Japan-U.S. Cyber Policy Fellowship

NBR announces a Japan-US Cyber Policy Fellowship, reflecting the growing institutionalization of bilateral cyber cooperation as a pillar of the alliance.

The National Bureau of Asian Research has announced a Japan-US Cyber Policy Fellowship, deepening the track of bilateral cyber and technology policy coordination. The fellowship sits within the broader context of US-Japan economic security and defense-industrial cooperation. It represents an institutional complement to the governmental-level cyber policy coordination framework.

The fellowship creates a pipeline of practitioners with bilateral cyber policy expertise at a moment when Japan's economic security law and US export-control alignment place cyber and technology policy at the center of the alliance.

LOWY INSTITUTE

How Japan stepped past China's tourist trap

Japan has successfully diversified its inbound tourism base away from dependence on Chinese visitors, reducing Beijing's leverage over Japan's travel sector.

The Lowy Institute argues Japan has navigated away from the structural vulnerability of over-reliance on Chinese tourists, building a broader inbound base that diminishes Beijing's coercive leverage in that sector. The analysis frames tourism diversification as one component of Japan's broader effort to reduce economic dependence on China. It draws on Japan's policy and market responses following periods of bilateral diplomatic friction.

Japan's tourism diversification reduces one axis of Chinese economic pressure relevant to analysts tracking Beijing's coercive toolkit against Tokyo.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE	VS PRIOR
Nikkei	62%	32%	—
Asahi	53%	33%	—
ANN	55.4%	29.9%	—
Kyodo	50.2%	33.9%	—
Mainichi · Jul 20, 2026 · 44d ago	41%	44%	—
Yomiuri	56%	32%	—
FNN	62.5%	32%	—
NHK	52.8%	33.2%	—
Jiji · Jul 16, 2026 · 48d ago	48.4%	26.9%	—
JNN	59.2%	37.6%	—

Discourse: Bloomberg reports Takaichi holds steady in polls despite price concerns, while Kyodo's record-low 50.2% and NHK's 53% reflect a downward trend driven by fiscal and price-stability concerns, with 30s voters breaking away per Asahi polling.

TRACKERS

JAPANESE GOVERNMENT

KANTEI · CABINET · MOFA · MOD · METI · MOF · BOJ · WEDNESDAY, SEPTEMBER 2, 2026

官邸 · KANTEI / PRIME MINISTER'S OFFICE · *PM Takaichi*

PM Takaichi holds telephone summit with Nepal PM; seeks cooperation on search for five missing Japanese nationals

PM Takaichi conducted a summit telephone call with Nepal's prime minister, requesting cooperation in the search for five Japanese nationals missing following Nepal floods, per the Prime Minister's Office readout.

→ [Kantei](#) ↗

官邸 · KANTEI / PRIME MINISTER'S OFFICE

FY2026 Comprehensive Disaster Management Drills conducted

Japan conducted its annual comprehensive disaster management drills, per the Prime Minister's Office, as part of FY2026 preparedness exercises.

→ [Kantei](#) ↗

DIET SESSIONS / LDP

KOMEITO / CENTRIST REFORM ALLIANCE

Japan Times examines what's next for Komeito following CRA split

A Japan Times analysis examines the ramifications for Komeito of former members who joined the Centrist Reform Alliance (CRA), with the decision by those members to stay or leave carrying far-reaching implications for the ruling coalition.

UPCOMING

SEP
7

Freedom Edge 2026 trilateral US-Japan-ROK exercises begin near Jeju Island

The US, Japan, and South Korea confirmed Freedom Edge 2026 will proceed as scheduled near Jeju Island, explicitly focused on North Korea nuclear and missile threat scenarios. North Korea has labeled the drills a 'threat' and conducted a missile test in the run-up.

SEP
19

BOJ Monetary Policy Meeting — September rate hike decision

Market odds for a BOJ rate hike at the September meeting reached 94% following Governor Ueda's signals and Treasury Secretary Bessent's public pressure at the G20. The increment of any hike is not fixed at 0.25%, per a BOJ board member.

SEP
2

Japan-Australia inaugural Leadership Dialogue — MOFA readout pending

The inaugural Japan-Australia Leadership Dialogue was announced via MOFA; a readout is expected as Tokyo deepens its security and diplomatic partnership with Canberra.

MOD FY2026 supplemental defense budget request — Diet submission window

Japan is seeking a record defense budget as PM Takaichi plans a defense buildup including drones, AI, and missiles; the annual MOD budget cycle runs through late summer requests and a December Cabinet draft.

US-JAPAN ALLIANCE & TRADE**US TARIFFS ON JAPAN**

AUTOS · 2025 DEAL

15% (incl. MFN, 2025 agreement)**Steel****50%**

SECTION 232

Aluminum**50%**

SECTION 232

Investment framework: \$550B strategic investment framework (2025 agreement)**Section 301:** 12.5% forced-labor tariff in force since Jul 24, 2026 (net of MFN); excess-capacity investigation ongoing

Deal: 2025 US-Japan agreement in force · Section 122 surcharge expired Jul 24, 2026; Section 301 forced-labor tariff entered force Jul 24, 2026

WIRE**BUSINESS & ECONOMY**

FINANCE · THE JAPAN TIMES

Japan bond rout turns tide of global capital; \$2.4T overseas hoard showing steady drawdown

Global fund managers and a growing body of data show a steady drawdown of Japan's approximately \$2.4 trillion in overseas debt holdings, though no sign of outright dumping has emerged. The shift is redirecting capital flows globally as Japanese long-term yields become more competitive.

MACRO · BLOOMBERG

Japan's METI seeks unprecedented \$49 billion budget

Japan's Ministry of Economy, Trade and Industry submitted a budget request described as unprecedented at \$49 billion, per Bloomberg, as part of the government's broader record FY2026 budget cycle encompassing defense, industry, and economic security.

FINANCE · NIKKEI ASIA

Japan stocks fall as higher cost of capital weighs on equities

The Nikkei dropped 2.73% on September 2 as rising interest rates increase the cost of capital for Japanese companies, with analysts flagging that prolonged high rates could compress valuations even as corporate earnings remain strong.

INDO-PACIFIC

INDO-PACIFIC · KOREA HERALD / JIJI PRESS / TASS

Putin blames Japan for deteriorating ties; Tokyo attributes cause to Ukraine invasion

Russian President Putin told TASS that Japan bears responsibility for the bilateral deterioration; Tokyo's response attributed the breakdown to Russia's invasion of Ukraine, per reporting sourced to Jiji Press and the Korea Herald.

TRILATERAL · KOREA HERALD / YONHAP

US, South Korea, Japan to hold Freedom Edge 2026 trilateral drills despite North Korean warning

South Korea confirmed trilateral US-Japan-ROK Freedom Edge 2026 exercises will proceed as planned near Jeju Island beginning September 7, despite North Korea's labeling of the drills as a 'threat' and a missile test conducted in the run-up.

INDO-PACIFIC · IISS

IISS podcast: Japan and Australia security relationship — Satake Tomohiko and Genna Lehman

The International Institute for Strategic Studies released a podcast featuring Professor Satake Tomohiko examining the Japan-Australia security relationship on the same day as the inaugural Japan-Australia Leadership Dialogue.

ALSO TODAY / THE WIRE

ECONOMY-BOJ · NIKKEI ASIA

Japanese corporate pensions shift back to domestic bonds as long-term rates rise

Japanese corporate pension funds are returning capital to domestic bonds as long-term rates rise, reversing years of overseas reallocation and adding a structural buyer to JGBs even as yields climb.

ON THIS DAY

SEPTEMBER 2, 1945

Japan signed the formal instrument of surrender aboard USS Missouri in Tokyo Bay, ending World War II.

The 81st anniversary falls as PM Takaichi pursues defense buildup and alliance management with Washington — the same alliance framework that emerged from the post-surrender occupation.